Nov 2026 attempt

Ind AS 12 — Income Taxes

Balance sheet approach: compare **carrying amount** with **tax base**. Everything else is an exception or a measurement rule.

1 The core grid

	Carrying amount > Tax base	Carrying amount < Tax base
ASSET	**Taxable TD → DTL**	**Deductible TD → DTA**
LIABILITY	**Deductible TD → DTA**	**Taxable TD → DTL**

Asset bigger in books → DTL. Liability bigger in books → DTA.

2 Tax base 7·8

Asset

Amount **deductible** for tax against future taxable benefits.

Benefits not taxable (e.g., dividend receivable not taxable) → tax base = **carrying amount** (no TD).

Liability

Carrying amount − **amount deductible** in future.

Revenue received in advance: CA − revenue not taxable in future.

Example	Result
Machine: book WDV 80, tax WDV 60	**Taxable TD 20 → DTL**
Provision (warranty / gratuity) 50, deductible on payment (43B)	**TB 0 → deductible TD 50 → DTA**
Advance received 30, taxed on receipt	**TB 0 → deductible TD 30 → DTA**
Interest receivable 10, taxed on receipt	**TB 0 → taxable TD 10 → DTL**
Land revalued 100 → 160, tax base 100	**Taxable TD 60 → DTL via OCI**
Penalty payable 5, never deductible	TB = CA → **no TD** (permanent)

3 Unused losses & credits 34 – 36

→ DTA for unused tax losses / credits → only to extent **probable** future taxable profit

→ **History of recent losses** → need **convincing other evidence** (taxable TDs, firm contracts, tax planning) 35

→ **MAT credit** → recognised as **DTA** when probable it will be utilised within the allowed period (ICAI guidance)

MOST TESTED

4 Initial recognition exceptions 15 - 24

No DT is recognised for:

→ **DTL on initial recognition of goodwill** 15(a) (DTA on tax-deductible goodwill excess — allowed)

→ Initial recognition of an asset / liability in a transaction that:

- is **not a business combination**, and
- affects **neither** accounting profit **nor** taxable profit, and
- does **not** give rise to **equal** taxable and deductible TDs (2023 amendment)

⚠ TRAP

2023 amendment: leases (ROU asset + lease liability) and **decommissioning** (asset + provision) create **equal and opposite TDs** → exception **no longer applies** → recognise **both DTA and DTL** (gross; offset only if para 74 met).

5 Measurement 46 - 56

→ Rates **enacted or substantively enacted by RD** 47 — change after RD = Ind AS 10 non-adjusting

→ Rate expected when TD **reverses**; reflect **manner of recovery** (use vs sale) 51

→ Revalued **non-depreciable** asset (land) → rate for **recovery through sale** 51B

→ **No discounting** of DTA / DTL 53

→ **Review DTA** each RD — reduce if not probable; reassess **unrecognised** DTA too 37 - 56

Sec 115BAA (new regime 22% + surcharge & cess)

Measure DT at the rate expected when TDs **reverse**: if the company expects to opt in a later year, TDs reversing after that year use the **new rate**. Remeasurement effect → **P&L** (or OCI / equity if the item was there).

6 Where does tax go? 57 - 68C

Underlying item	Tax goes to
Normal income / expense	**P&L**
Revaluation surplus, DB remeasurement, FVOCI, CFH	**OCI** 61A
Retrospective policy change / error correction; equity component of compound instrument	**Equity directly**
Business combination (FV adjustments)	**Goodwill** 66
Income-tax consequences of **dividends**	Where the **distributable profits** were recognised (usually P&L) 57A

7 Investments in subs, branches, associates, JVs 39 · 44

	Recognise unless …
DTL	*parent / investor **controls timing** of reversal **and** it is **probable not to reverse** in foreseeable future* 39
DTA	*recognise **only if** probable to reverse in foreseeable future **and** taxable profit available* 44

> ⚠ **TRAP**
>
> ***Associate:** investor usually **cannot control** dividend policy → DTL on undistributed profits generally **recognised** (unless agreement says profits won't be distributed). **Subsidiary:** parent controls → often not recognised.*

8 Consolidation adjustments

- → ***Unrealised profit** in inventory eliminated → deductible TD → **DTA at buyer's rate** (buyer holds the asset)*
- → *Downstream → DTA all to parent; upstream → DTA split parent / NCI (see LDR Topic 2)*
- → *Group DT computed on **consolidated** carrying amounts vs **each entity's** tax base*

9 Business combinations 19 · 66 - 68

- → *FV uplift on acquiree's assets (tax base unchanged) → **DTL** → **increases goodwill***
- → ***No DTL on goodwill** itself*
- → *Acquirer's **own** previously unrecognised DTA becomes recognisable because of the combination → **P&L, not goodwill** 67*
- → *Acquiree DTA recognised **later**: within **measurement period** & from new info about facts at acquisition → reduce goodwill (excess → P&L); otherwise → P&L 68*

10 Presentation & offset 71 - 76

- → *Offset current tax assets / liabilities only with **legally enforceable right** + intent to settle net*
- → *Offset DTA / DTL only if **legally enforceable right** to set off current tax **and** same **taxation authority** (same entity, or entities intending net settlement) 74*
- → ***DT never current** (Ind AS 1 para 56)*
- → *Disclose **tax expense reconciliation** (ETR or numerical) 81(c)*

11 Uncertain tax treatments Appendix C

- → Assume the authority **will examine** with **full knowledge** (no detection risk)
- → Probable the authority accepts? **Yes** → use filed position. **No** → reflect uncertainty using **most likely amount** or **expected value** (whichever predicts better)
- → Consider each treatment separately or together — whichever predicts resolution better
- → **Reassess** when facts change (new assessment order, ruling, expiry of limitation)

12 Ind AS 12 vs old AS 22

	AS 22	Ind AS 12
Approach	P&L (income statement)	**Balance sheet**
Differences	Timing	**Temporary** (wider: incl. revaluation, BC, OCI items)
DTA on losses	Virtual certainty	**Probable** (convincing evidence if recent losses)

13 AAA bridge

Area	Requirement
SA 540	DTA recoverability (profit forecasts), uncertain tax positions, rate expectations
SA 250	Compliance with tax laws; non-compliance effect on FS
SA 580	Written representations on tax planning & future profitability assumptions
CARO 3(vii)(a)	Undisputed statutory dues (incl. income tax) deposited regularly; arrears > 6 months
CARO 3(vii)(b)	Disputed dues not deposited — amount & forum
CARO 3(viii)	Unrecorded income **surrendered / disclosed** in tax assessments — recorded in books?

✍ **Write in exam**

"As per para 24 and 34 of Ind AS 12, a deferred tax asset shall be recognised for deductible temporary differences and unused tax losses only to the extent that it is probable that taxable profit will be available against which they can be utilised; given the history of recent losses, convincing other evidence is required (para 35)."

DTA needs **proof of future profit**. DTL needs **no proof** — it's always recognised (except goodwill / IRE / controlled timing).